

Weekly Market View

Equities break out

→ Positive earnings and softening US bond yields have supported a breakout in major equity market indices.

→ We see room for this to extend, but would ensure portfolios avoid excessive regional or sector concentrations.

→ The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold.

→ Japan-US yen intervention likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Will the RBA raise rates? What does that mean for AUD bonds?

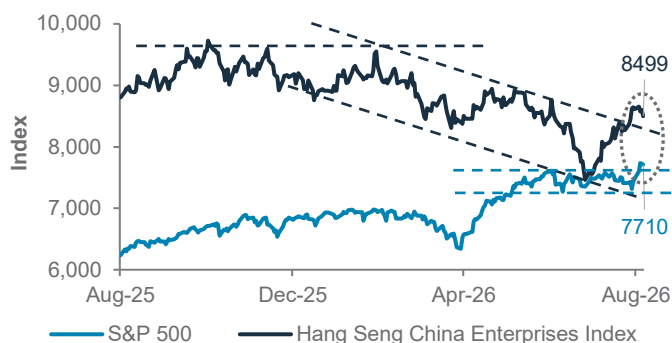
Do recent earnings signal a healthy AI investment cycle?

What does the RBI rate decision mean for Indian bond yields?

Charts of the week: Equities start to break out of recent ranges

US, China equities breaking higher amid strong earnings & softer bond yields. Yen intervention a key reason for DXY fall.

S&P500 and HSCEI equity indices



Source: Bloomberg, Standard Chartered

DXY (USD Index) and USD/JPY



Editorial

Equities break out

Strategy summary: Positive earnings and softening US bond yields have supported a breakout in major equity market indices. We see room for gains to extend, but would ensure portfolios avoid excessive regional or sector concentration. The announcement of an Oman-Iran deal on reopening the Strait of Hormuz is set to keep oil prices rangebound, reducing a potential headwind for equities, bond yields and gold. Japan-US intervention in the Yen currency market likely signals greater two-way volatility rather than a change in trend as long as the gap in US-Japan interest rates persists. We expect a rangebound USD/JPY near-term.

Major equity markets have broken out of their recent sideways or down-trending ranges in recent days: This shift is visible in US, Euro area and Japan equities, but also within the major Asian markets – China and India – to varying degrees. This technical breakout has focused attention on an improving near-term outlook after recent weakness.

Earnings, bond yields signal gains set to extend: In the US, a strong earnings season has been a key contributor, with approximately 85% of S&P500 companies beating consensus expectations (vs. a long-term average of 67%). In China, we also expect a positive earnings season as earnings reports kick off next week. Meanwhile, the pause in US real (net-of-inflation) bond yields from close to multi-decade highs is also a key positive. Together these factors argue recent equity markets gains have room to extend.

Keep regional, sector exposure diversified: While it is tempting to expect a return to concentrated sector or regional market gains, we believe recent market rotations argue for keeping exposure more broadly diversified. We are also mindful of seasonal and US election-related risks later in the year.

Overweight US, Asia ex-Japan; US financials recently upgraded: We retain our Overweight views on US and Asia ex-Japan equities as well as core holdings to Japan and Euro area stocks. However, this applies equally at a sector level. The

S&P500, for example, comprises approximately 45% growth sectors, 35% cyclical sectors and 20% defensive sectors. Our opportunistic idea on US communication services is a good example of gaining attractive exposure to growth. However, our recent upgrade of US financials on the back of higher yields and M&A activity reflects an attractive route to add cyclicals.

Announcement of an Oman-Iran deal on Strait of Hormuz reinforces rangebound oil price view: Reports of an Oman-Iran agreement to reopen shipping in the Strait of Hormuz reinforced recent softness in oil prices. While recent history shows it can pay to be sceptical of headline deals until evidence emerges of changes in actual activity, the announcement reinforces our view that oil prices remain largely rangebound within USD 70-90/bbl. This should help keep a lid on oil-related inflation worries, thereby helping cap real bond yields and, in turn, avoid disrupting recent optimism in equities.

Capped real yields positive for income and gold: Looking beyond equities, we also see the softening of real bond yields as pointing to an opportunity to lock in attractive yields in short maturity bonds. Softening real yields should also reduce headwinds for gold, where prices have similarly broken above recent ranges. We view gold as a core allocation.

Yen intervention introduces greater two-way volatility, but weak Yen fundamentals remain in place: Coordinated Japanese-US intervention raises the credibility and likely impact of the recent intervention to strengthen the Japanese Yen. However, the persistence of the sizeable gap between Japanese and US interest rates means the fundamental factor driving Yen weakness remains unchanged.

Rate differential attractive for carry trades; USD/JPY likely rangebound for now: JPY-funded carry trades remain attractive given the wide yield differential, although higher intervention risk may encourage lower leverage and tighter risk management. However, the pace of BoJ rate hikes remains the key risk. Near-term, USD/JPY is likely to stay rangebound.

— Manpreet Gill

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

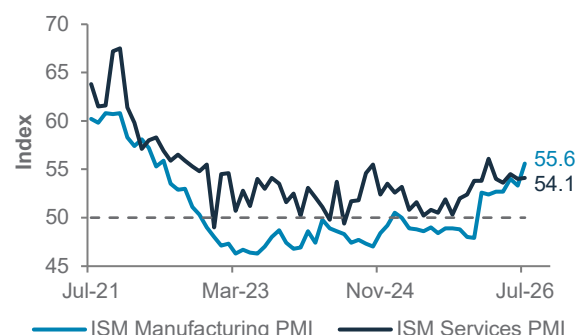
(+) factors: Robust US manufacturing activity; likely easing geopolitical tensions and prospect of resumption of Hormuz strait shipping

(-) factors: Weaker-than-expected US job market, weak China activity and escalating trade tensions between the US and China

	Positive for risk assets	Negative for risk assets
Macro data	US ISM manufacturing PMI rose more than expected to 55.6 in July, with rising new orders and employment sub-indices	- US ISM services PMI missed estimates in July, prices paid rose and employment sub-index fell - US private sector employment (Jul) and US JOLTS job openings (Jun) missed estimates - Euro area core consumer price index rose more than expected in July - China mfg and non-mfg PMIs fell more than expected in July
	Our assessment: Negative – Weaker-than-expected US job market, slower US services activity, and weak China activity	
Policy developments	- Fed's Paulson and Williams said rates remain "well positioned" - RBI kept the repurchase rate unchanged and retained a neutral stance	Fed's Schmid, Kashkari and Cook emphasised further monetary policy tightening as necessary
	Our assessment: Neutral – Divergent Fed views, RBI on hold	
Other developments	- Iran reached an agreement with Oman on a temporary shipping route through the Strait of Hormuz, but stressed it does not mean a full reopening - US confirmed a new round of facilitated talks between Israel and Lebanon	- Iran reported to be looking at barring US and Israeli ships from the strait - US plans ban on Chinese optical transceiver imports, and impose a 15% tariff and minimum price floors on imported polysilicon - China retaliated against US with sanctions and tighter export on drones
	Our assessment: Neutral – Easing geopolitical tensions vs. escalating trade tensions between the US and China	

US manufacturing PMI hit its highest level since May 2022 driven by a surge in production and new orders, while the services sector continued its steady expansion

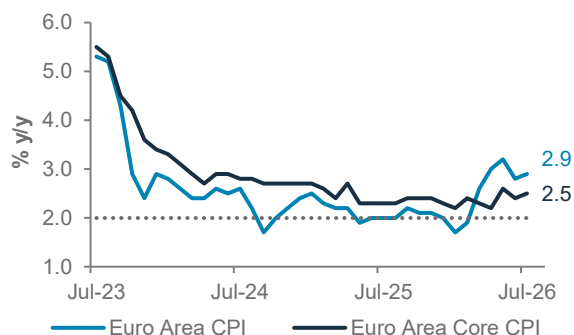
ISM manufacturing PMI and services PMI



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose 2.9% y/y in July as expected, driven by higher energy cost pressures

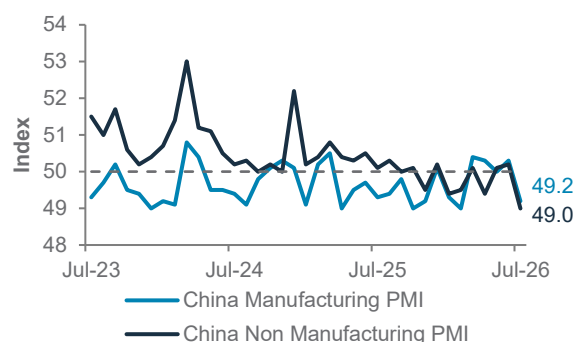
Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

China manufacturing and non-manufacturing PMIs fell into contraction territory in July, signalling a loss of economic momentum

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Q Do recent Big Tech earnings support the view of a healthy AI investment cycle?

Our view: Yes. We remain constructive on investing in the AI theme, expressed through our Overweight to the US technology sector or via our Opportunistic ideas on US communication services, MSCI Taiwan and global power and electrification.

Rationale: A key concern heading into Big Tech earnings was the ability to monetise substantial AI investments. The results so far largely suggest that **AI investments are supporting real commercial demand rather than simply adding speculative capacity**. Based on current trends, we estimate AI-related returns on investment (ROI) for Big Tech companies with strong cloud businesses at around **25-30%**, indicating returns are becoming increasingly tangible.

While the **ROI remains attractive**, we believe the uncertainty relates to whether hyperscalers have committed too much capital around AI, too quickly. This reflects concerns about the ability of hyperscalers to pause or reverse the investment cycle should the macro situation deteriorate. When investment obligations become large and long dated, the market can become worried about execution risk just as much as return potential. **We remain confident in Big Tech companies' ability to manage their AI investments.**

— Fook Hien Yap, Senior Investment Strategist

Q Can the rally and outperformance of China equities continue?

Our view: We remain Overweight China equities and expect the rally to extend into H2, supported by China's policy stimulus, technological goals, earnings support and cheap valuations.

Rationale: The MSCI China Index has rebounded 9.6% since June-end but remains **down c.7% year to date (YTD)**, compared with global equities – which are up c.14%. This points to **substantial catch-up potential**.

China's July 2026 Politburo meeting, while stopping short of announcing fresh stimulus, pledged to "roll out **pragmatic and effective new policies** in a timely manner", reinforcing a **supportive backdrop** for the economic outlook. Structurally, the country's push for innovation, supply-chain localisation and technological self-reliance, despite US chip restrictions, is bolstering sentiment, with an **AI IPO wave** fuelling stronger investor interest in equities.

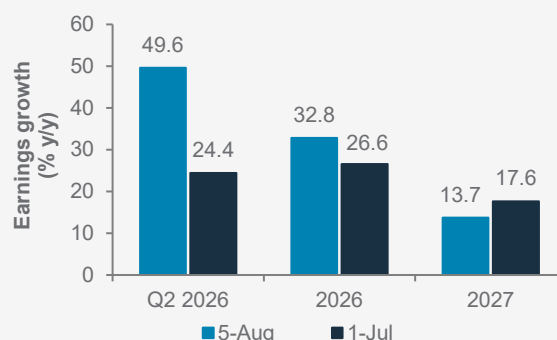
Major Chinese technology names are set to report earnings soon, where **accelerating AI commercialisation** and **high-performing domestic AI models** with lower development costs than their US peers are expected to support the growth outlook.

China trades at a **c.11x forward price-to-earnings (P/E) ratio**, making it one of the cheapest major markets globally, with ample room for a valuation re-rating. However, **regulatory changes** could limit the financial sector's near-term valuation re-rating potential.

— Jason Wong, Senior Equity Analyst

US Q2 earnings season has been excellent, with substantial upgrades to 2026 earnings growth forecasts, partly offset by lower 2027 earnings growth expectations

Consensus earnings growth projections for the S&P500 Index as of 5 August 2026 and 1 July 2026



Source: LSEG I/B/E/S, Standard Chartered

We see the China equity rally extending into H2. The MSCI China Index remains down c.7% YTD, despite its recent rebound, implying room to catch up

MSCI China Index



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q How will the US Treasury borrowing plan and Q3 Quarterly Refunding Announcement affect US government bond yields?

Our view: We expect the yield premium to remain elevated and prefer shorter-tenor bonds, particularly in the 3-5-year segment.

Rationale: The US Treasury's Q3 2026 borrowing estimate of USD 739bn – USD 68bn above the May forecast – reflects **deteriorating net cash flows**. Yet the **yield reaction was mild** after the borrowing announcement, likely explained by the continued heavy reliance on T-bill issuance amid **strong support from money market funds**. T-bills currently represent **c.23.7%** of total outstanding debt, remaining below the peak of over 28% during the Covid-19 period.

While **the front-loading of bill issuance keeps short-end rates anchored**, it only delays, but does not eliminate, the eventual need for longer-dated bond auctions. The pressure on long-end yields is thus just being deferred. According to the US Treasury, **projected issuance will rise to USD 4.9trn by 2028** from USD 4.4trn in 2026. Because longer-dated bonds tie up investors' money for longer, they carry more risk and put more strain on the market than short-term bonds of the same USD amount. Once this is accounted for, the extra borrowing translates into the equivalent of **USD 350bn-520bn** in additional 10-year US government bond supply per year – representing the true weight of new bonds the market will need to absorb annually. The **yield differential between 2- and 10-year US government bonds has steepened materially** in the past month, consistent with the market pricing in a higher terminal rate at the front end while long-end yield premia expand amid supply pressure.

— Ray Heung, Senior Investment Strategist

Q What are the implications of hyperscaler debt issuance for the US corporate bond market?

Our view: Shorter-dated, high-quality bonds in the 1-5-year segment should remain relatively well bid, while medium- to long-dated maturities face broader spread pressure. We see an opportunity to add high-quality bonds in the 3-5-year tenor.

Rationale: The US investment-grade (IG) corporate bond market is experiencing an **unprecedented supply surge** in 2026, driven primarily by major hyperscalers' AI infrastructure spending ambitions. June set a new monthly record for IG issuance at over USD 180bn, with **several brokers raising their IG issuance forecasts for 2026**. This volume has created technical indigestion.

Investors in front-end and medium maturities are **absorbing new supply** by recycling redemption proceeds/coupon income. However, **asset managers/dealers** are approaching risk limits in the belly and the long end of the curve, while **insurers** – historically key buyers of long-dated tech bonds – are at or near their target allocations.

For hold-to-maturity investors, this presents an opportunity to **lock in high-quality income from highly rated bonds**, especially in our recommended 3-5-year tenor.

— Ray Heung, Senior Investment Strategist

Treasury bills (T-bills) as a proportion of total US debt remain below the peak reached during the Covid-19 period

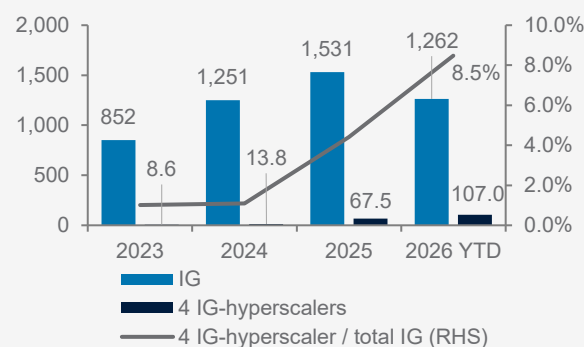
T-bills as a percentage of total US government debt



Source: Bloomberg, Standard Chartered

Fast and furious – hyperscaler debt issuance is rising rapidly, both in absolute volume and as a share of total IG issuance

Total US IG and top four US hyperscaler bond issuance 2023-25 and 2026 YTD (USD bn)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Will the RBA raise rates next week? What might be the implications for the Australian dollar (AUD) and AUD bonds?

Our view: We expect the RBA to keep rates unchanged at 4.35% at its 11 August policy meeting, broadly in line with market expectations. We believe this presents an opportunity to lock in higher yields in AUD corporate bonds. We maintain our modestly bullish view on the AUD.

Rationale: The market is pricing in a **95% chance** that the RBA will hold rates steady next week, but we expect the messaging to retain a **hawkish bias**, with **inflation risks still lingering**. However, a potentially slowing economy later in 2026 could give the RBA more reasons to refrain from further hikes. We believe **the market has already priced in the 'hawkish hold' narrative**. We reiterate our **Opportunistic buy idea** on AUD corporate bonds to capture still-attractive yields.

For the AUD, a rate hold along with hawkish guidance should remain supportive, but expectations of slower economic growth may temper gains. We remain **modestly bullish on the AUD** and forecast AUD/USD at **0.74** over three months and **0.75** over 12 months.

— Ray Heung, Senior Investment Strategist

Q After the RBI's decision to leave its benchmark repo rate unchanged at 5.25%, what is your view on India bond yields?

Our view: The yield downtrend is expected to continue for the next few months, aided by the benefits from the RBI's capital inflow measures. Our investment stance favours carry strategies in short- to medium-duration bonds (up to five years), with only a tactical allocation to longer duration, as the long end is expected to be more volatile.

Rationale: The RBI's August 2026 monetary policy meeting kept the repo rate unchanged, maintaining a **Neutral stance but with a dovish tilt**. India's FY27 **growth estimate has been revised upwards** by 10bps, reflecting robust domestic demand conditions and strong exports. The FY27 **consumer inflation estimate has been revised lower** by 10bps as core inflation remained broadly steady. The RBI is likely to **wait and watch** while assessing the monsoon and crude oil data. The case for tightening would become stronger if second-order effects of inflation become visible.

The response to the RBI's recent capital inflow measures has been encouraging, with c.USD 40bn of flows generated via offshore deposit and borrowing schemes and c.USD 8bn of debt foreign portfolio investment (FPI) inflows received over the last two months. Improved liquidity is expected to moderate banks' credit-to-deposit ratios, with **short-end yields drifting lower in the near term**.

Given the steepness of the yield curve, a **tactical allocation towards the long end of the yield curve** is supported by FPI demand, moderating inflation expectations and government borrowing shifting to lower maturities, although **the long end is expected to remain volatile because of oil price volatility**.

— Shaily Gang, Chief Investment Strategist, India

Markets expect the RBA to keep rates unchanged

Market-implied number of 25bps RBA rate cuts/hikes by August and December 2026



Source: Bloomberg, Standard Chartered

Response to the RBI's capital inflow measures

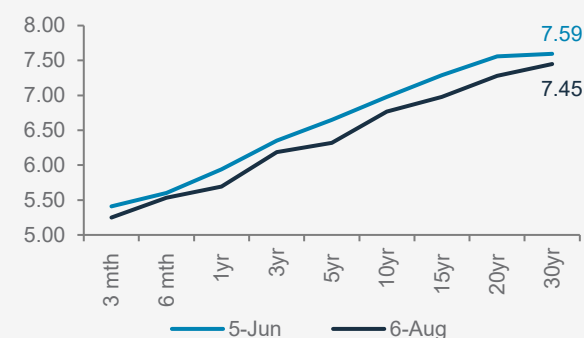
Foreign Currency Non-resident (Bank) (FCNR [B]), Overseas Foreign Currency Borrowing (OFCB) and External Commercial Borrowings (ECB) flows garnered by 31 July 2026

USD bn	31-Jul-26	17-Jul-26
FCNR (B)	36.7	17.4
OFCB	2.6	2.0
ECB	1.5	1.4
Total	40.8	20.8

Source: Press Releases – Reserve Bank of India

Yield curve shifted lower following the RBI's capital inflow measures; further declines expected

Shift in the India government bond yield curve since the RBI's June 2026 policy meeting



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What are the implications of the coordinated US-Japan intervention for USD/JPY, JPY carry trades and Japan equities?

Our view: The coordinated US-Japan FX intervention has strengthened the credibility of official action and should limit sharp speculative rises in USD/JPY. Japan's authorities appear focused on curbing disorderly moves rather than reversing the underlying trend.

Rationale: Japan's official FX intervention has changed near-term market dynamics but has not altered our medium-term JPY outlook. **We still expect one more BoJ rate hike this year**, while relatively high US interest rates should continue to support USD/JPY.

JPY-funded carry trades remain fundamentally attractive, given the still-wide US-Japan interest rate differential, although higher intervention risk may encourage **lower leverage** and **tighter risk management**. Policymakers appear focused on limiting disorderly moves rather than defending a specific exchange-rate level. **Resistance** is expected at 159.00 and 160.00, while **support** lies at 156.30 and 155.23.

We maintain a **Core holding stance** on Japan equities. Consensus 2026E earnings-per-share growth has been revised materially higher amid a **reflating economy** and ongoing **Corporate Governance Code reforms**. JPY volatility introduces a headwind, as c.56% of revenues for MSCI Japan are derived from overseas.

— **Ray Heung**, Senior Investment Strategist
— **Jason Wong**, Senior Equity Analyst

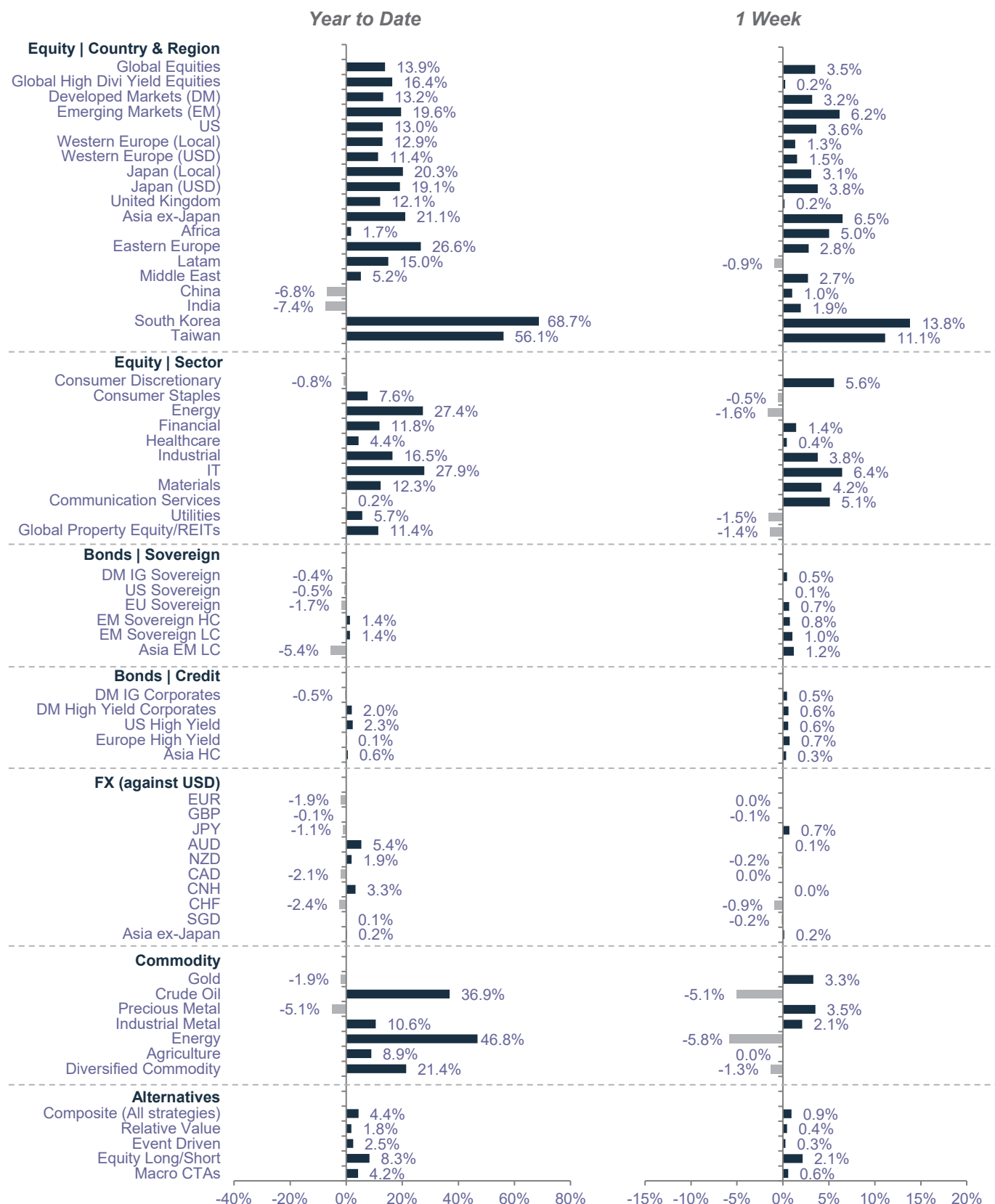
USD/JPY: Market testing higher levels amid intervention concerns

USD/JPY spot exchange rate with key technical support and resistance levels



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 6 August 2026; 1-week period: 30 July 2026 to 6 August 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Financials ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ◆	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ◆

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,898

Technical indicators for key markets as of 6 Aug close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,710	7,418	7,898	20.0	1.1
STOXX 50	6,503	6,280	6,627	15.5	3.1
FTSE 100	10,868	10,514	11,106	13.0	3.7
TOPIX	4,056	3,897	4,176	16.5	2.3
Shanghai Comp	3,900	3,736	4,070	12.9	3.2
Hang Seng	25,530	23,890	26,679	10.7	3.4
Nifty 50	24,636	23,903	25,071	18.6	1.8
MSCI Asia ex-Japan	1,094	1,022	1,152	10.4	2.3
MSCI EM	1,659	1,555	1,741	10.1	2.7
Crude oil (WTI)	77.3	66.1	91.0	na	na
Gold	4,239	4,031	4,376	na	na
UST 10Y Yield	4.68	4.52	4.79	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market Event		Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Aug	–	-3.1
	AUD	RBA Cash Rate Target	11-Aug	4.4%	4.4%
TUE	USD	NFIB Small Business Optimism	Jul	–	97.4
	USD	CPI y/y	Jul	3.5%	3.5%
WED	USD	Core CPI y/y	Jul	2.5%	2.6%
	GBP	GDP y/y	2Q P	–	0.9%
THU	USD	Initial Jobless Claims	8-Aug	–	–
	USD	Continuing Claims	1-Aug	–	–
	USD	PPI Final Demand y/y	Jul	–	5.5%
	USD	PPI Ex Food and Energy y/y	Jul	–	4.7%
FRI/SAT	USD	Retail Sales Control Group	Jul	0.3%	0.5%
	USD	U. of Mich. Sentiment	Aug P	54	55.2

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 6 Aug close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.22
Global Equities	●	↑	1.59
Gold	○	→	1.49
Equity			
MSCI US	●	↑	1.51
MSCI Europe	○	→	1.49
MSCI AC AXJ	●	↑	1.78
Fixed Income			
DM Corp Bond	●	↑	2.56
DM High Yield	●	↑	1.60
EM USD	●	↑	2.39
EM Local	●	↑	2.06
Asia USD	●	↑	2.05
Currencies			
EUR/USD	○	→	1.46

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ○ Low to mid | ○ Critically low

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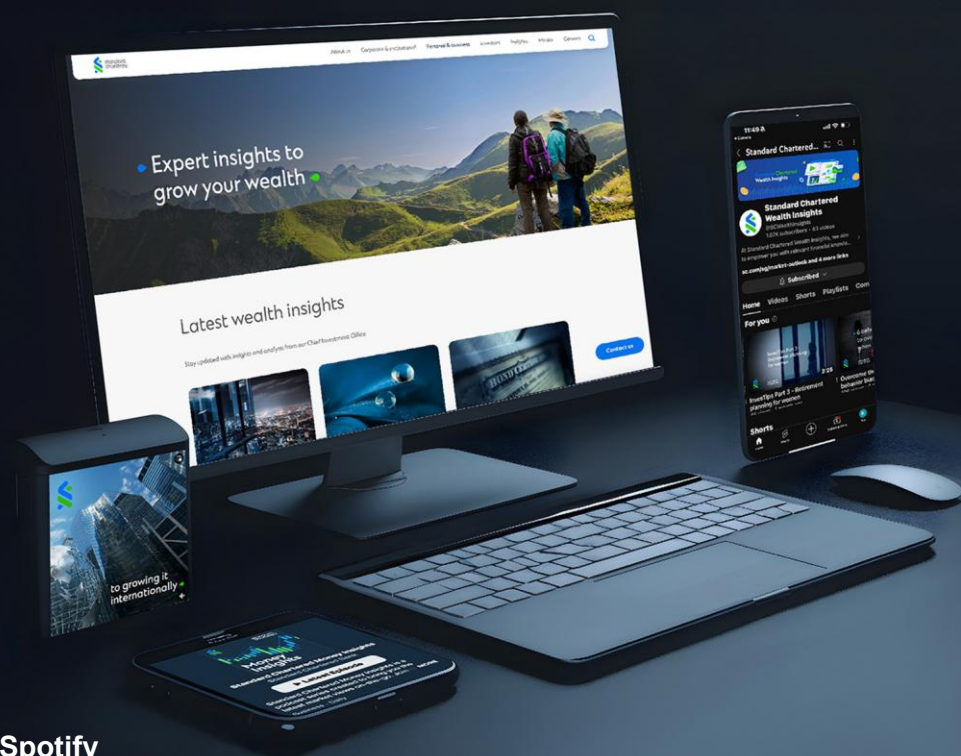
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Weekly Market View

Geopolitics, policy and earnings

→ The Houthis' blockade of the Red Sea following the resumption of US-Iran hostilities has driven a sharp rebound in energy prices and bond yields.

→ We expect US electoral constraints and Iranian restraint to eventually limit escalation in the conflict. Against this backdrop, central banks are likely to hold rates this month as they assess the impact of any temporary spike in energy prices on the inflation outlook.

→ Besides the spike in bond yields, equity markets will have to contend with lofty earnings expectations as the reporting season picks up.

→ We expect strong AI investment-driven earnings beats to drive upgrades to profit estimates. This should support continued equity market outperformance in the coming months.

→ In fixed income, inflation-protected bonds appear particularly attractive, especially in the US, where the inflation-adjusted yield has surged above 2.4%, close to the highest since 2008.

Remain overweight US tech and communications: Big tech to deliver strong earnings

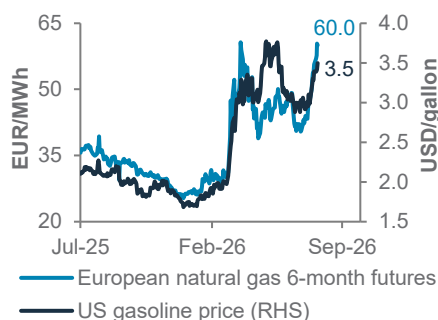
Bullish Japan and European financial sectors – high interest margins, solid dividends

Neutral to positive on CNH – Likely PBoC reserve ratio cut to have limited impact on CNH

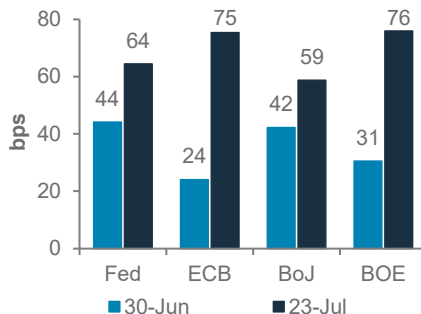
Charts of the week: Earnings likely to trump geopolitics

Oil prices and rate expectations are likely near their peak; strong earnings upgrades are likely to drive equities higher

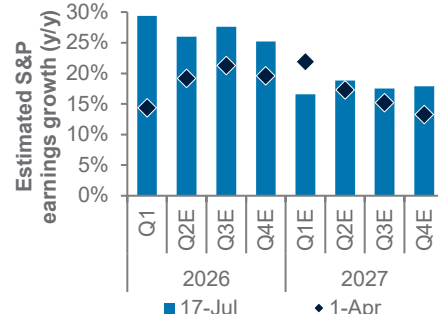
US gasoline and European natural gas 6-month forward prices



Money market expectations of key policy rates over next 12m; today vs. 30 June



Consensus earnings estimates for S&P500 index



Source: Bloomberg, LSEG I/B/E/S, Standard Chartered

Editorial

Geopolitics, policy and earnings

Strategy summary: The Houthis' blockade of the Red Sea following the resumption of US-Iran hostilities has driven a sharp rebound in energy prices and bond yields. We expect US electoral constraints and Iranian restraint to eventually limit escalation in the conflict. Against this backdrop, central banks are likely to hold rates this month as they assess the impact of any temporary spike in energy prices on the inflation outlook.

Besides the spike in bond yields, equity markets will have to contend with lofty earnings expectations as the reporting season picks up. We expect strong AI investment-driven earnings beats, especially in the US and Asia, to drive upgrades to profit estimates. This should support continued equity market outperformance in the coming months. In fixed income, inflation-protected bonds appear particularly attractive, especially in the US, where the inflation-adjusted yield has surged above 2.4%, close to the highest since 2008.

Mideast conflict limited by US electoral constraints, Iran restraint: The re-escalation of tensions, with Yemen's Houthis joining the conflict, has driven European gas prices back to March peaks, but US gasoline prices remain well below the latest peaks. Notably, Iran has avoided attacking Saudi Arabia and UAE in the latest escalation, signalling restraint. While there is a window for further near-term escalation, any rebound in US gasoline prices closer to May's peaks in the run-up to November's mid-term elections is likely to put pressure on President Trump to resume negotiations. Thus, we expect US crude oil (WTI) to trade largely in the USD 70-90/bbl range in the next few months, limiting the economic impact.

Central banks to hold rates this month. We expect major central banks to hold rates this month as they assess the inflationary impact of the latest Middle East escalation. This was apparent from this week's ECB decision to hold its deposit rate at 2.25%, while it kept the option open for another rate hike later this year. Meanwhile, the softer-than-expected US inflation report for June confirmed our view that inflation peaked in Q2.

We expect the Fed to stay on hold this year as long as gasoline prices remain subdued, given slowing wage growth and cooling shelter and services inflation. As such, the 2-5-year segment of the bond yield curve looks increasingly attractive, especially if rate expectations peak with oil prices in the next few weeks.

ECB, BoJ under rising pressure to hike. The ECB, being an inflation-targeting central bank, is under growing pressure to hike rates in the coming months to counter any energy-price driven inflation if European natural gas prices stay elevated. We raise the probability of another 25bps rate hike later this year, with the timing dependent on the status of the US-Iran conflict and the pass-through of energy prices onto inflation and wage growth. The BoE is likely to be constrained from hiking rates, though, due to weakening domestic growth outlook. Meanwhile, the BoJ remains behind the curve as a weaker currency pours fuel on domestic wage-driven inflation. There is rising chance the BoJ hikes twice this year, if only to support the JPY.

Equities under rates, earnings scanner. Equities slumped on Thursday weighed by a Big Tech earnings report, surging crude oil prices (WTI crossed USD 90/bbl and Brent rose above USD 100/bbl) and the US 10-year government bond yield rising above 4.7%. The 10-year yield has gained almost 35bps since 29 June. We believe a 25bps rise in bond yields, which serves as the discount rate for valuing equities, can impact global equities by around 3-4%, so investors should remain disciplined as rate expectations shift. However, projected earnings growth of 15-20% in 2026 and 2027 should provide a meaningful cushion against rate-driven valuation pressure.

US earnings key support for equity outperformance. Big Tech is likely to show strong results and clearer AI monetisation in Q2. The tech sector has driven over half of global equity EPS upgrades since end-February, while AI adoption is still early in a multi-year cycle. We remain overweight US technology and communication services, and favour regions with stronger earnings visibility, particularly the US and Asia ex-Japan.

— Rajat Bhattacharya

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

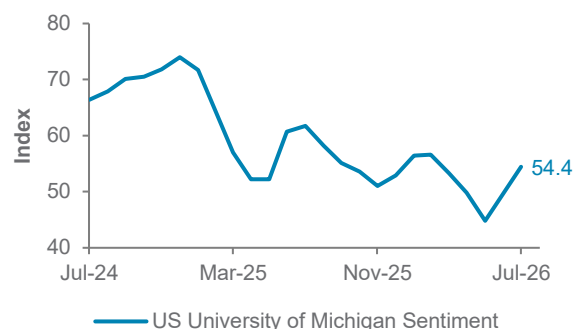
(+) factors: Robust consumer sentiment in the US and Euro area; China's new policy initiatives

(-) factors: Escalating geopolitical and trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	- US University of Michigan consumer sentiment index beat estimates in July - Euro area and Germany ZEW Survey expectations beat estimates in July	- US leading index fell by 0.2% m/m in June, below estimates - Japan's core consumer price inflation fell unexpectedly in June to 1.7% y/y
	Our assessment: Positive – Robust consumer sentiment in the US and Euro area	
Policy developments	Fed's Jefferson said current policy is well positioned to balance employment and inflation goals	- Fed's Hammack hinted the potential for a rate hike to combat sticky inflation - ECB kept its rate unchanged as expected, while President Lagarde hinted a potential Sep hike
	Our assessment: Neutral – Divergent Fed views, potential ECB rate hike	
Other developments	China pledged to hit its full-year growth target of 4.5-5% and emphasised accelerating policy implementation	- Yemen's Houthis launched strikes on two Saudi tankers, escalating the conflict into the Red Sea - The US widened Iran air-strikes and signalled peace talks unlikely; Iran fired back on US bases - The US launched new tariffs of 10-12.5% on imports from 60 countries and fresh 50% tariffs on a range of Canadian goods - President Trump planned a 100% tariff on generic drugs from Aug 2028
	Our assessment: Negative – Escalating geopolitical and trade tensions	

US University of Michigan consumer sentiment index rose to its highest level since February

US University of Michigan consumer sentiment index



Source: Bloomberg, Standard Chartered

Euro area ZEW survey of economic sentiment beat estimates significantly, reflecting growing confidence in the near-term recovery

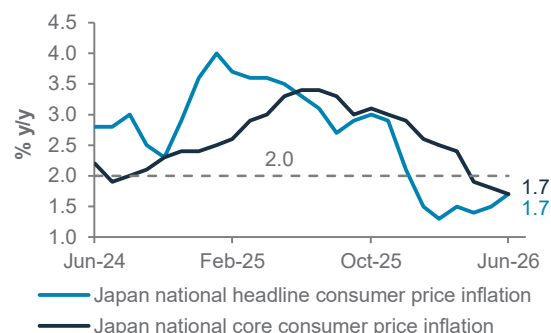
Euro area ZEW survey expectations



Source: Bloomberg, Standard Chartered

Japan's national core consumer price inflation fell in June to the lowest since Aug 2022, while headline inflation came in-line with expectations

Japan's headline and core (ex-fresh food and energy) consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

Q What do you expect from US Big Tech earnings next week?

Our view: We expect US Big Tech companies to deliver solid Q2 earnings while demonstrating further evidence of AI monetisation. We are Overweight the US technology and communication services sectors.

Rationale: The US technology sector continues to be a primary driver of S&P500 earnings, with the **highest projected earnings growth** over the next 12 months. It is expected to see earnings growth of 65.6% y/y in Q2 and 57% in 2026, driven by AI demand.

Besides strong earnings growth, we expect US Big Tech companies to demonstrate that elevated AI capex is translating into **stronger monetisation**. US Census Bureau data indicates that AI adoption has already reached 20-25% across US industries. This **rapid uptake** signals strong **enterprise acceptance** and gives us greater confidence that AI usage remains in the early stages of a **multi-year growth cycle**. The emergence of cost-effective and high-performing Chinese AI models has raised some concerns about **AI commoditisation**, which can reduce the returns on AI capex. However, we believe that as AI resources become more efficient to use, total consumption will rise (Jevons paradox). To gain exposure, we are Overweight the US technology and communication services sectors, with the latter being dominated by large internet platforms.

— Fook Hien Yap, Senior Investment Strategist

Q What is your Q2 earnings outlook for the Japan and Europe financial sectors?

Our view: We expect a constructive earnings season for Japan and Europe ex-UK banks and remain Overweight both sectors.

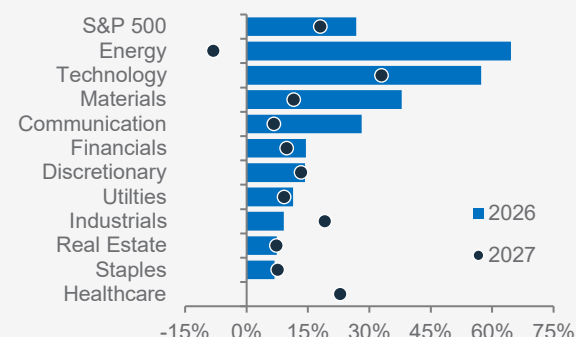
Rationale: The earnings backdrop for Japan banks is supported by the BoJ's two 25bps rate hikes in December 2025 and June 2026, which are feeding through via **lagged loan repricing** and **expanding domestic net interest margins**. Notably, the **regulatory easing** of Japan banks' exposure limits for individual corporate groups grants megabanks greater flexibility to underwrite large-scale M&A and AI data centre transactions. While the near-term earnings benefit is incremental, the medium-term implications are more meaningful, with greater flexibility to support **loan growth**.

Europe banks are also entering the Q2 earnings season with a constructive set of catalysts. Net interest income is benefiting from a higher-for-longer rate path, and fee income is supported by resilient investment banking activity and a stabilising wealth management segment. Meanwhile, **credit quality remains robust**, with the European Banking Authority's June 2026 Risk Assessment showing non-performing loan ratios sitting at historic lows. **Sustained capital distributions** via dividends and share buybacks continue to be a key catalyst and represent a compelling risk-adjusted return opportunity.

— Jason Wong, Senior Equity Analyst

The technology sector is expected to continue leading the US market in earnings growth over the next 12 months

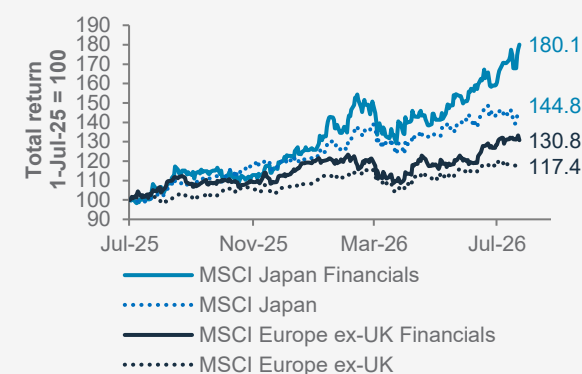
Projected 2026 and 2027 earnings growth by sector



Source: LSEG I/B/E/S, Standard Chartered

The Japan and Europe ex-UK financial sectors have been outpacing their broader indices, benefiting from a structural increase in domestic interest rates

Total returns of the MSCI Japan and Europe ex-UK financials sectors and the regional market indices



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q What might be the implications of next week's Fed, BoJ and BoE policy meetings for bond and FX markets?

Our view: We expect the Fed, BoJ and BoE to keep policy rates unchanged. Guidance will be key: i) a neutral Fed should limit further gains in US bond yields and USD, ii) BoJ is expected to keep the door open to further policy normalisation; and iii) the BoE is likely to retain a cautious inflation bias.

Rationale: We expect the Fed to hold rates at 3.5-3.75%. Softer June US consumer inflation supports a hold, although **sustained strength in WTI oil prices could reinforce upside inflation risks**. A neutral message will likely cap short-term gains in government bond yields and reduce support for the USD, while renewed emphasis on inflation risks would lift yields elevated. The USD Index (DXY) is likely to remain **rangebound between 100.3 and 102**.

The BoJ is likely to hold its policy rate at 1.00% next week, but the weak JPY and imported inflation should preserve the possibility of further normalisation. Reports suggest some policymakers see scope for **faster policy normalisation** if JPY weakness, higher fuel costs and quicker cost pass-through push inflation above projections. Combined with our expectation that the Fed will remain on hold, this should eventually allow **USD/JPY to ease**. Technically, we believe the USD/JPY correction is likely to be gradual rather than immediate. FX intervention and **higher pension fund allocations** to domestic assets may slow JPY depreciation, but a sustained reversal will require a narrower US-Japan interest rate differential. A sustained move below 160 will bring the **155-158 range** into focus.

We expect another hold by BoE on 30 July, following June's 7-2 vote to hold rates at 3.75%. Persistent energy-driven inflation could keep UK Gilt yields elevated and support GBP, although weak activity and fiscal uncertainty may limit gains. **GBP/USD is likely to stay rangebound between 1.3200 and 1.3500**.

— Iris Yuen, Investment Strategist

Q Will the PBoC implement monetary easing measures, given China's weak Q2 GDP? Will this affect the CNH outlook?

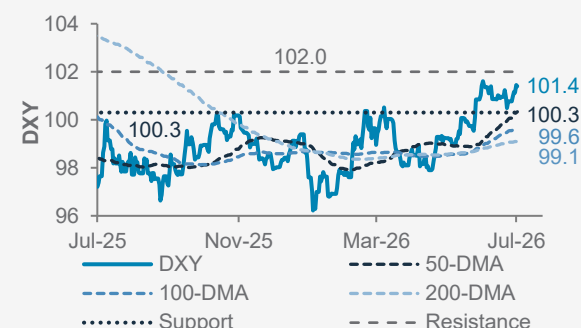
Our view: A reserve requirement ratio (RRR) cut remains possible, but any resulting CNH depreciation should be limited.

Rationale: China's economy grew 4.7% in H1, in line with the government's annual growth target, although Q2 GDP moderated to 4.3% y/y from 5.0% in Q1. Industrial production and exports remained resilient. **Overall macroeconomic conditions do not suggest a urgent need for broad-based monetary easing**. An **RRR cut could weigh on the CNH initially** by reinforcing concerns over wider policy divergence with the US. However, such a cut primarily releases banking system liquidity and **does not necessarily signal a shift towards aggressive monetary easing**. We therefore expect any CNH weakness to remain measured, supported by China's external balance and policymakers' preference for exchange-rate stability. USD/CNH has near term support at 6.75.

— Iris Yuen, Investment Strategist

The USD index (DXY) remains rangebound between 100.3 and 102

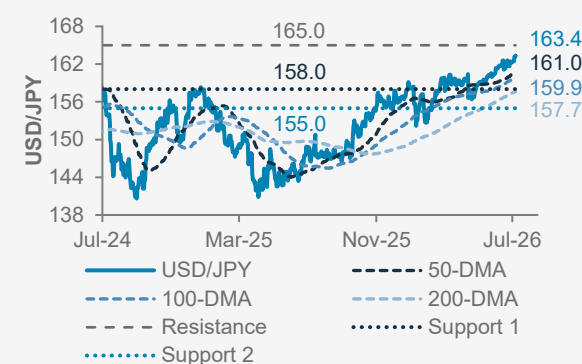
The DXY and technicals



Source: Bloomberg, Standard Chartered

USD/JPY intervention risk rises around 165

USD/JPY and technicals



Source: Bloomberg, Standard Chartered

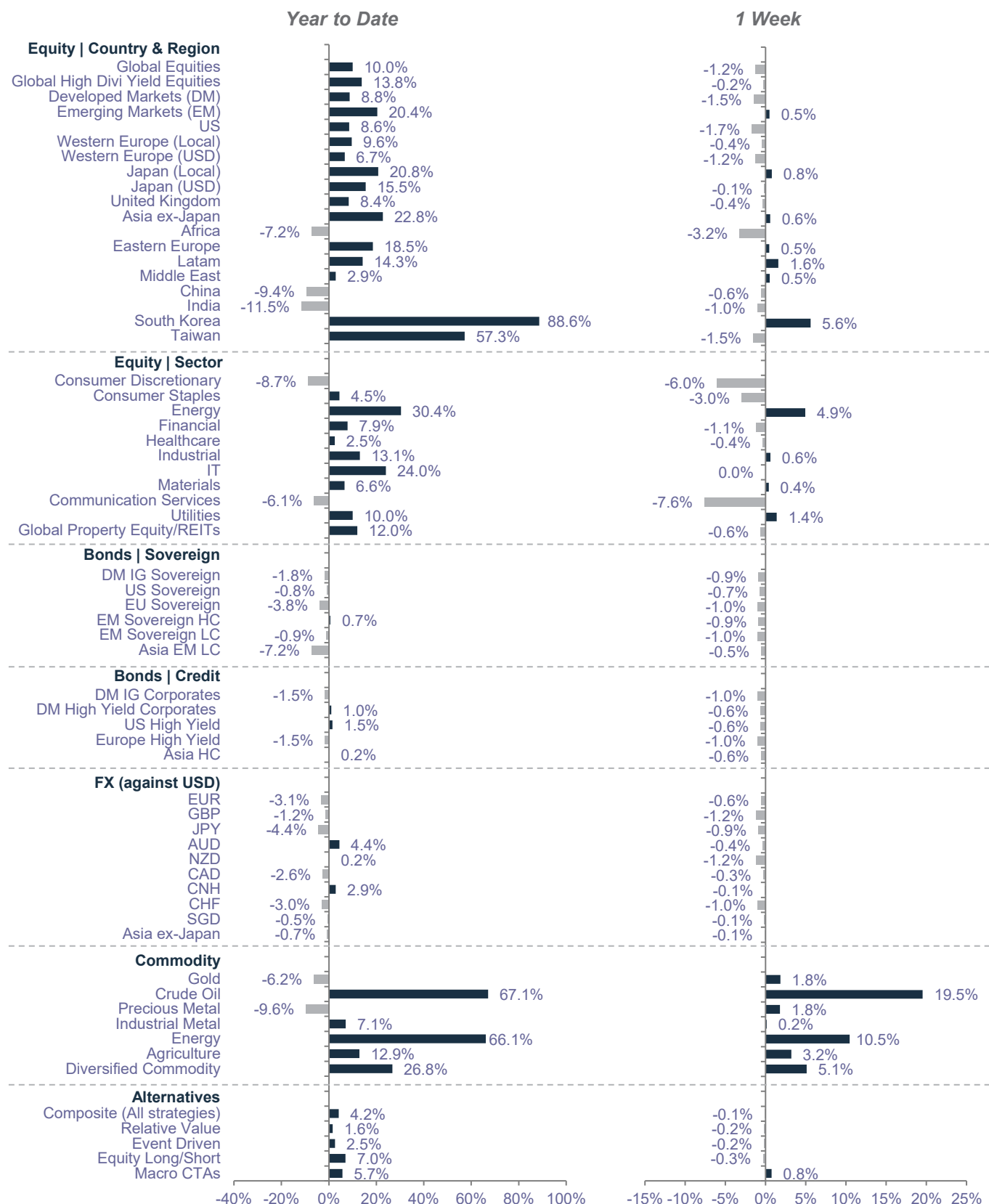
USD/CNH downtrend continues

USD/CNH and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 23 July 2026; 1-week period: 16 July 2026 to 23 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,562

Technical indicators for key markets as of 23 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,408	7,274	7,562	19.7	1.2
STOXX 50	6,210	6,117	6,367	15.0	3.2
FTSE 100	10,639	10,393	10,824	12.9	3.5
TOPIX	4,054	3,896	4,175	16.9	2.3
Shanghai Comp	3,877	3,687	4,121	13.0	3.1
Hang Seng	25,211	23,397	26,146	10.7	3.4
Nifty 50	23,870	23,593	24,339	18.3	1.8
MSCI Asia ex-Japan	1,110	1,046	1,186	10.7	2.3
MSCI EM	1,672	1,582	1,782	10.4	2.7
Crude oil (WTI)	92.2	75.0	101.4	na	na
Gold	4,049	3,928	4,187	na	na
UST 10Y Yield	4.69	4.46	4.82	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

Market Event		Period Expected	Prior
MON	CNH Industrial Profits y/y	Jun	– 21.1%
	EUR Germany IFO Business Climate	Jul	– 85.6
	USD Durable Goods Orders	Jun P	1.5% -4.5%
TUE	USD Conf. Board Consumer Confidence	Jul	92.0 91.2
WED			
THU	USD FOMC Rate Decision (Upper Bound)	29-Jul	3.8% 3.8%
	EUR Economic Confidence	Jul	– 95.0
	EUR Unemployment Rate	Jun	– 6.2%
	GBP Bank of England Bank Rate	30-Jul	– 3.8%
	USD Personal Income	Jun	0.3% 0.7%
	USD Real Personal Spending	Jun	0.2% 0.3%
	USD PCE Price Index y/y	Jun	3.6% 4.1%
	USD Core PCE Price Index y/y	Jun	3.3% 3.4%
	USD GDP Annualized q/q	2Q A	2.3% 2.1%
FRI/SAT	JPY BOJ Target Rate	31-Jul	– 1.0%
	CNH Manufacturing PMI	Jul	49.9 50.3
	CNH Non-manufacturing PMI	Jul	50.0 50.2
	EUR CPI y/y	Jul P	– 2.8%
	EUR CPI Core y/y	Jul P	– 2.4%

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 23 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	→	1.80
Global Equities	●	↑	1.58
Gold	●	→	1.40
Equity			
MSCI US	●	↑	1.55
MSCI Europe	●	↑	1.78
MSCI AC AXJ	●	↑	1.63
Fixed Income			
DM Corp Bond	●	↑	1.80
DM High Yield	●	↑	1.71
EM USD	●	↑	1.95
EM Local	●	↓	1.63
Asia USD	●	→	1.89
Currencies			
EUR/USD	●	↓	1.36

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

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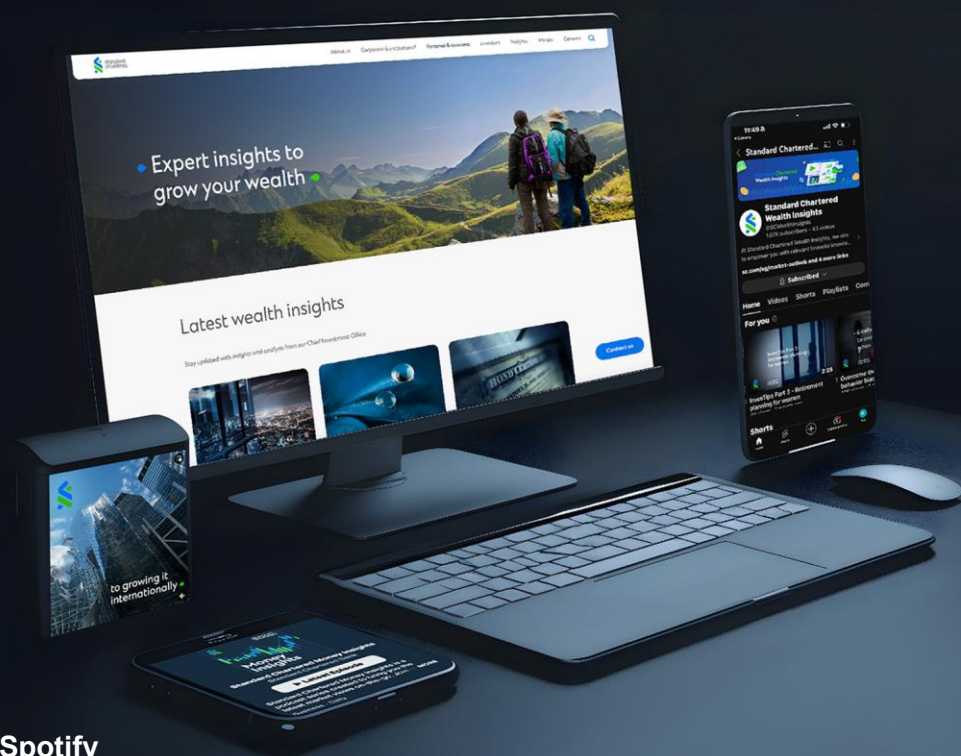
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Weekly Market View

Inflation cools, but focus shifts back to oil

→ Peak Fed hawkishness is likely behind us following the release of a soft June CPI inflation print. This reinforces our view that the Fed will keep rates on hold through the second half of 2026.

→ However, a new surge in oil prices poses some risks to this view. Oil prices are likely to rise to the top of our expected USD 70-90/bbl near-term range, but we expect any rise above this to be short-lived.

→ We would focus on locking in attractive yields, but retain our strong preference for short bond maturities to avoid excessive exposure to any new inflation concerns.

→ China and India equities should benefit within Asia from any equities broadening trade, alongside Taiwan equities. AI monetisation is expected to be a key focus for upcoming tech sector earnings.

What can we learn from Q2 US bank earnings?

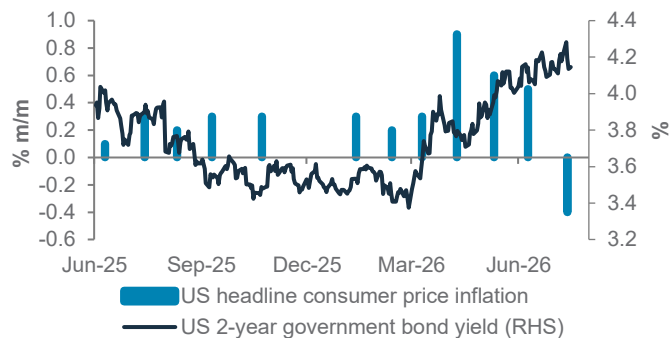
What is the impact of leadership changes in the UK?

Is the Swiss Franc set to weaken?

Charts of the week: Inflation softens

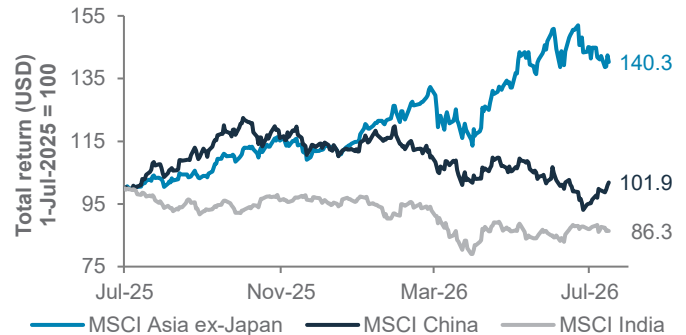
June US CPI data eases immediate inflation worries, but oil remains a risk. China, India equities have room to catch up.

CPI inflation m/m change vs. 2yr US govt. bond yield



Source: Bloomberg, Standard Chartered

MSCI equity indices: Asia ex-Japan vs. China, India



Editorial

Inflation cools, but focus shifts back to oil

Strategy summary: Peak Fed hawkishness is likely behind us following the release of a soft June CPI inflation print. This reinforces our view that the Fed will keep rates on hold through the second half of 2026. However, a new surge in oil prices poses some risks to this view. Oil prices are likely to rise to the top of our expected USD 70-90/bbl near-term range, but we believe sufficient incentives exist for all sides to avoid a larger escalation that pushes prices sustainably above this range.

We would focus on locking in attractive yields, but retain our strong preference for short bond maturities to avoid excessive exposure to any new inflation concerns. China and India equities should benefit within Asia from any equities broadening trade, alongside Taiwan equities. AI monetisation is expected to be a key focus for upcoming tech sector earnings.

US inflation data signals peak hawkishness likely behind us: US headline CPI inflation fell -0.4% m/m, the biggest monthly drop in years. This supported the view that the rise in inflation over Q2 indeed was likely a temporary surge led by oil prices alone rather than being a more broad-based risk. The data point reinforces our view that the Fed is likely to leave rates unchanged through H2 2026 and signals 'peak hawkishness' is now likely behind us. Fed Chair Warsh's inclusion of 'full employment' at his first semi-annual testimony to Congress supports this view. However, the relief was more visible in shorter-term US bond yields (2-year) relative to long-term bond yields (10-year), suggesting long term fiscal concerns remain.

Renewed Middle East escalation poses upside oil price risk in the near term: Following earlier attacks on ships transiting through the Strait of Hormuz, the US initiated new military strikes on Iran. This series of events is pushing oil prices towards the upper end of our expected USD 70-90/bbl range. While there is a non-negligible risk that Trump follows through on his threats to escalate further still, we believe the US continues to face an incentive to avoid a larger oil price shock given the risk to US growth and upcoming mid-term elections.

This means any temporary oil price spikes above USD 90/bbl are unlikely to be sustained for long. Having said that, we continue to see US TIPS (inflation-protected bonds) as an attractive hedge against a more adverse scenario.

Lock in elevated yield: Fiscal worries notwithstanding, our view that we are likely past peak Fed hawkishness means that the recent rise in bond yields offers an opportunity to lock in yields for income. We maintain a broad preference for credit over government bonds, with an Overweight on EM USD government bonds. However, we continue to favour short maturities to avoid excessive exposure to volatility triggered by any new inflation or fiscal worries.

China, India equities to benefit from broadening of rally: 2026 year-to-date gains in Asia ex-Japan equities have been driven by Korea and Taiwan equities (ie. semiconductor-heavy markets). Chinese and Indian equities have both lagged. However, these two markets should benefit from a rotation into broader regional exposure and a softening of the US Dollar, where long positioning is close to extremes. We remain Overweight China and India equities, with our preference for the Hang Seng tech index providing exposure to a broadening of gains within the Asia technology sector.

Watch upcoming tech sector earnings, UK appointments: While semi-conductor sector earnings growth visibility remains strong, we also expect solid result announcements from US hyperscalers. This is likely to be driven by robust AI adoption and digital advertising trends. However, the key market focus is likely to remain on the level of AI capex spending and any signals on the pace of AI monetisation.

In the UK, the key focus for markets following Burnham's likely appointment as Prime Minister will be the choice of Chancellor of the Exchequer and any related signals on the extent of fiscal policy continuity. These are likely to be key for UK bond yields and the GBP, which are expected to stay rangebound till greater clarity emerges.

— Manpreet Gill

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

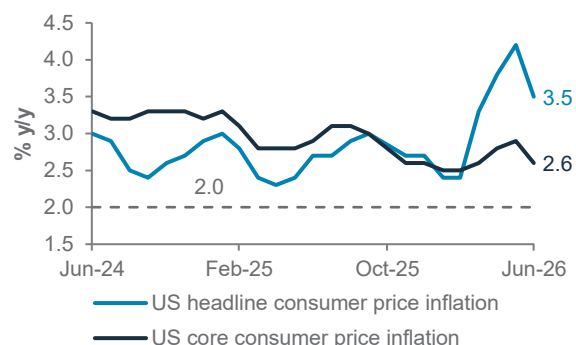
(+) factors: Easing US price pressures; robust US economic activity

(-) factors: Escalating geopolitical tensions revive inflation risks

	Positive for risk assets	Negative for risk assets
Macro data	- US headline and core consumer and producer price inflation eased more than expected in June - US NFIB small business optimism index rose more than expected to 97.4 - China export grew 27.0% y/y, above estimates - China retail sales rose unexpectedly by 1% y/y	China Q2 GDP rose by 4.3% y/y, below estimates
	Our assessment: Positive – Easing inflationary pressures in the US, strong China exports growth	
Policy developments	- July Fed Beige Book showed economic expansion, stable employment, and signs of moderating inflation - Fed's Williams said current rates are well positioned to bring inflation back to the 2% target - Bank of Canada kept policy rate at 2.25% as expected, and said the economy is growing	
	Our assessment: Positive – Robust US economic activity, potential Fed rate pause	
Other developments	President Trump abandoned a 20% charge on cargo crossing the Strait of Hormuz one day after announcing it	- The US carried out a fresh wave of strikes on Iran's coastal defense systems and missile sites - Iran threatened to close all other vital export corridors after the US reimposed a naval blockade
	Our assessment: Negative – Escalating geopolitical tensions	

US headline and core consumer price inflation eased more than expected to 3.5% y/y and 2.6%, respectively in June

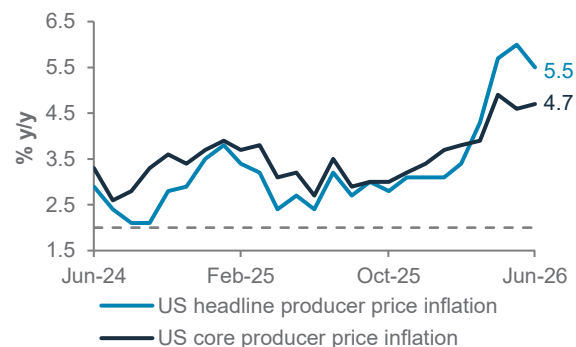
US headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

US headline producer inflation eased in June to 5.5% y/y, well below market forecasts of 6.2% y/y and decelerating from 6% y/y in May

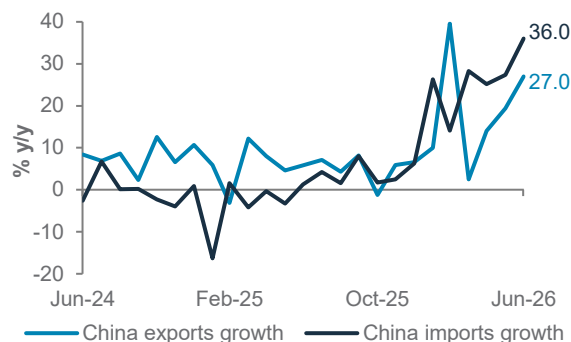
US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

China's exports grew 27% y/y in June driven by the global artificial intelligence (AI) boom and surging electric vehicle (EV) sales

China exports and imports growth



Source: Bloomberg, Standard Chartered

Top client questions

Q What can we learn from major US banks' Q2 earnings?

Our view: Major US banks delivered significant earnings beats in Q2 vs. consensus estimates, making them attractive to add on pullbacks. We maintain a Core allocation to US financials.

Rationale: Major US banks beat consensus expectations across both earnings and revenues, primarily driven by a **surge in equities trading** and **record investment banking fees**. Market volatility, AI-related capital markets activity and mega listings, such as the SpaceX initial public offering, supported this growth. Positive loan growth supported net interest income. Meanwhile, resilient US consumers supported the **stable credit quality**.

Looking ahead, growth should be supported by a **healthy pipeline for equity underwriting** and **M&A advisory fees**. An elevated equity market also bolsters fee income for the asset management business. **Guidance was broadly raised**, although management flagged tougher H2 comparisons and sounded a **cautious tone** around macro uncertainties, inflation risks and big fiscal deficits. Valuations of major US banks are elevated but justified, in our view.

— Michelle Kam, CFA, Investment Strategist

Q What do you expect from upcoming tech sector earnings, including those from US hyperscalers?

Our view: Earnings growth in the semiconductor sector remains strong with good visibility. We favour diversifying exposure into Taiwan equities. We expect US hyperscalers to deliver strong growth and prefer gaining exposure through the US communication services sector.

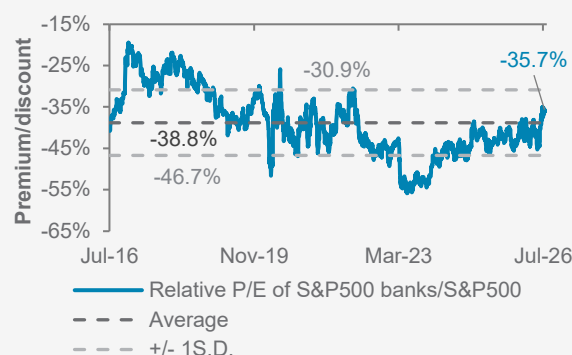
Rationale: Earnings reports from the semiconductor industry point to unprecedented long-term visibility. **Sustained AI-driven demand** across both advanced logic and memory chips is giving chipmakers the confidence to accelerate capacity expansion plans. **Taiwan equities'** significant exposure to the semiconductor industry makes them a preferred route for gaining exposure to this attractive growth.

For US hyperscalers, we expect **solid results**, driven by cloud growth with robust AI adoption, and healthy digital advertising trends. The market is likely to focus on whether hyperscalers' significant AI investments are beginning to generate meaningful returns. Hence, management commentary on **AI monetisation** – specifically regarding new revenue streams through enterprise subscriptions, AI model usage growth and consumption-based pricing trends – will be critical. We also expect hyperscalers to maintain **elevated AI capital expenditure (capex) spending**. We see the US communication services sector – which is dominated by large internet platforms with reasonable valuations – as an attractive opportunistic trade idea.

— Fook Hien Yap, Senior Investment Strategist

US banks are trading at a reasonable valuation discount to the broader US market, in line with the historical average, while the growth outlook remains strong

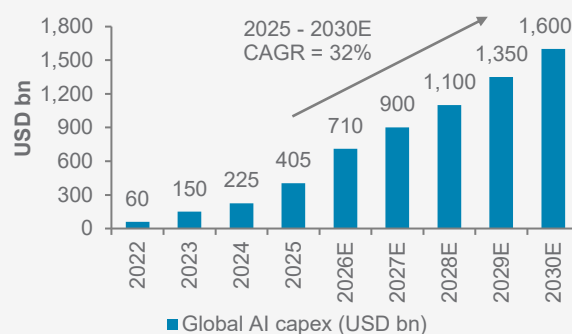
12-month forward P/E valuation of S&P500 banks relative to the S&P500 Index



Source: Bloomberg, Standard Chartered

Rising AI capex is supported by monetisation trends

Global AI capex over the years



Source: Company reports, Standard Chartered

Top client questions (cont'd)

Q Does the soft June US consumer inflation print validate the view that peak Fed hawkishness is behind us? What is your view on US bond yields following the soft inflation print?

Our view: We believe peak inflation is behind us in the near term and expect the Fed to hold rates steady through year-end 2026. Short-term yields declined more than long-term yields after the soft June US consumer inflation print, validating our view that the term premium will remain elevated. We maintain our view that the US 2-year Treasury yield will trade in a range of 4.00-4.25%. While the 10-year yield has traded above our near-term target range of 4.25-4.50%, we expect it to technically range between trend support at 4.47% and resistance at 4.63%.

Rationale: June US headline and core inflation slowed to 3.5% y/y and 2.6% y/y, respectively, coming in below market expectations. The data supports our view that peak inflation and Fed hawkishness are behind us in the near term and reinforces our view that the Fed will remain on hold for the rest of 2026. Despite the renewed Middle East tensions this week, we view the escalation as transient and do not expect energy prices to retest their April highs.

Bond yields fell after the latest US inflation data, with **shorter-dated US Treasury yields falling more than those at the long end**. The 10-year yield pulled back from its 13 July high of 4.626% to around 4.59%, while the 2-year yield fell from its one-year high of 4.288% to around 4.19%. **Markets now expect a less hawkish Fed**. However, fiscal worries remain and will likely keep the term premium elevated.

— Ray Heung, Senior Investment Strategist

Q What is your outlook for USD/CHF following the pair's attempt to recover towards 0.8150?

Our view: We expect USD/CHF to remain rangebound with a bearish bias in the coming weeks, with the USD as the key driver.

Rationale: The latest US consumer and producer inflation prints were softer than expected, which has trimmed Fed rate-hike expectations and weighed on the USD. Swiss inflation edged down to 0.5% y/y in June from 0.6% y/y. The slowdown reflected a **slight deceleration in services prices** and **some early energy price easing**.

We see an **opportunity for price dynamics to gradually reaccelerate** in the coming quarters as the effect of the Swiss franc's (CHF's) previous appreciation fades. This should allow the Swiss National Bank (SNB) to shift its focus towards **policy normalisation** over time. The central bank's increased willingness to **intervene against excessive CHF strength** remains a latent constraint on USD/CHF downside, with SNB President Schlegel having recently reaffirmed that stance. The pair rise has been rejected repeatedly at 0.8150 and is likely to remain **rangebound with a bearish bias**, with support at 0.7920.

— Iris Yuen, Investment Strategist

Short-term yields declined more than long-term yields post the US June consumer inflation report. We expect rangebound yields in the near term, with the term premium remaining elevated

US 2- and 10-year government bond yields



Source: Bloomberg, Standard Chartered

USD/CHF rise rejected repeatedly at 0.8150

USD/CHF and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Q Andy Burnham is widely expected to be confirmed as the leader of the UK Labour Party on 17 July. Will this spark heightened volatility in the GBP and UK bond (Gilt) yields?

Our view: We expect Gilt yields and the GBP to remain rangebound in the near term until there is greater clarity on Burnham's policy agenda.

Rationale: Andy Burnham is expected to become Prime Minister (PM) of the UK on 20 July, having secured the backing of a majority of Labour Members of Parliament. The **Gilt market is anxious** about his appointment, as Burnham's fiscal vision is seen as more **left-leaning** than that of outgoing PM Starmer's. Using the 10-year Gilt as an example, yields have risen by about **30bps** since he emerged as a strong contender in late June, reflecting these concerns.

However, Burnham has publicly ruled out changing Chancellor of the Exchequer Rachel Reeves's self-imposed borrowing limits, while signalling that he is **open to reducing the welfare bill** if he becomes PM, suggesting some degree of **fiscal discipline**. That said, the market will likely remain concerned about how Burnham may seek flexibility within the fiscal rules. He was reportedly considering bringing forward **a bolstered budget later in 2026**, potentially combining it with the Autumn Budget, including an additional GBP 40bn to fund infrastructure and housing investment, alongside the removal of defence spending from existing fiscal rules. Perhaps most worrying for the market were **his comments that the UK had to move beyond being "in hock" to bond markets**, which contributed to the initial yield spike when he entered the PM race.

Having said that, we think Gilt markets have already embedded a meaningful near-term political risk premium. We expect them to remain **rangebound for now**, as investors await the Autumn Budget and Parliament enters its summer recess until September. **Whether Reeves retains her position in the cabinet** will also be closely monitored as a signal of continuity in fiscal policy.

The larger GBP risk will come after Burnham's confirmation, particularly through his **choice of chancellor** and the **credibility of his spending plans**. Policies that promote investment and growth while respecting fiscal constraints would be broadly neutral to positive for the GBP. In contrast, unfunded spending commitments or a perceived weakening of fiscal discipline are likely to revive concerns over **UK debt sustainability** and weigh on the currency. Our base case is, therefore, **a brief increase in GBP volatility**, rather than a sustained directional move. GBP/USD is likely to remain more sensitive to the USD, US rate expectations, and upcoming UK fiscal announcements than to 17 July's confirmation itself.

— Ray Heung, Senior Investment Strategist
— Iris Yuen, Investment Strategist

Gilt yields have already risen ahead of Andy Burnham's confirmation as the next UK PM

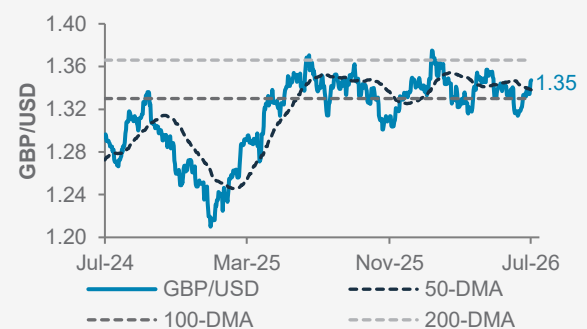
UK 10-year government bond yield



Source: Bloomberg, Standard Chartered

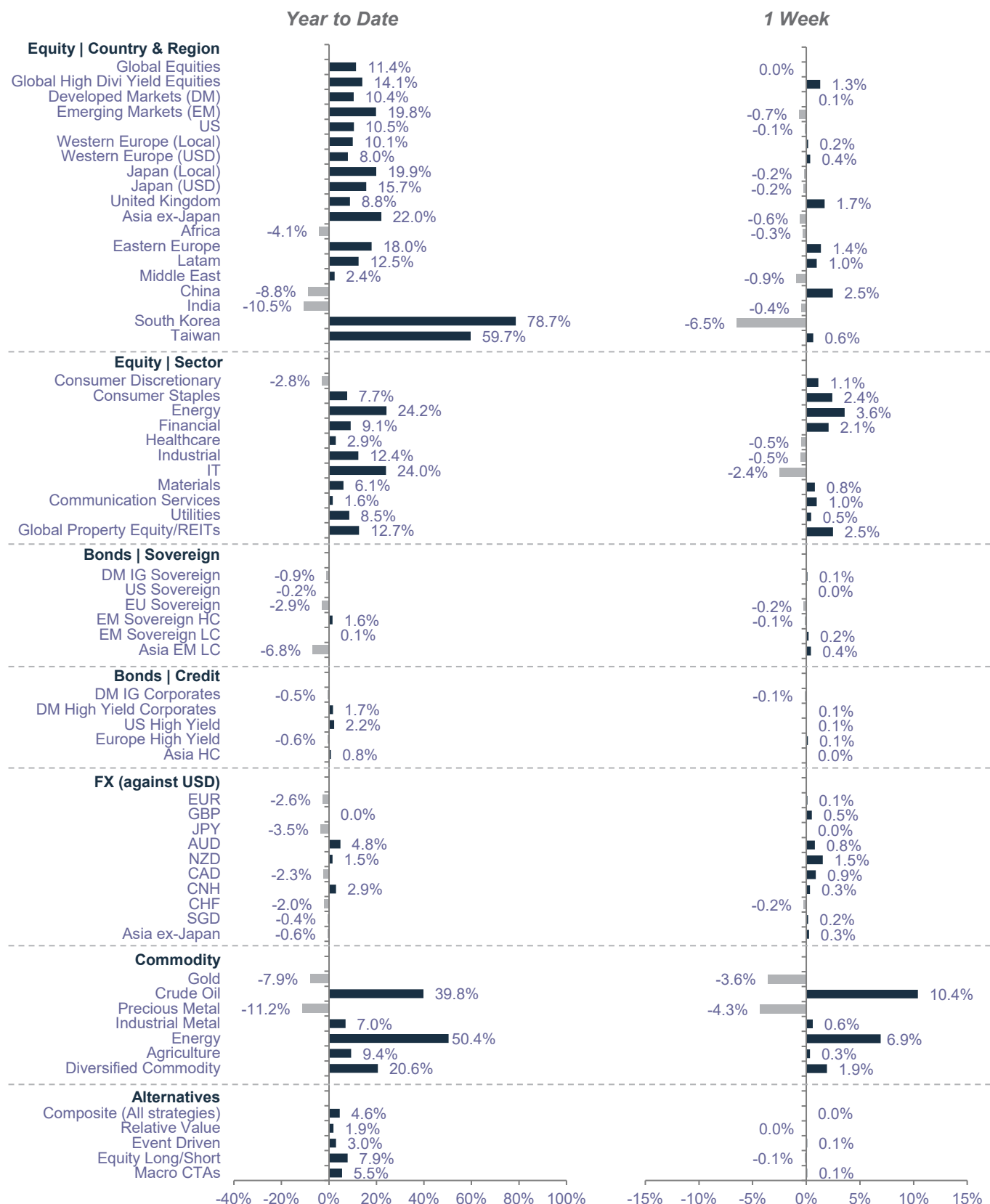
GBP/USD in the range of 1.3300-1.3660

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 16 July 2026; 1-week period: 9 July 2026 to 16 July 2026

Our 12-month asset class views at a glance

Asset class	
Equities ▲	Preferred Sectors
US ▲	US Technology ▲
Europe ex-UK ◆	US Communication ▲
UK ▼	US Healthcare ▲
Asia ex-Japan ▲	Europe ex-UK Financials ▲
Japan ◆	Europe ex-UK Industrials ▲
Other EM ◆	Japan Financials ▲
	China Communication ▲
Bonds ▼	China Technology ▲
Credit	Govt
Asia USD ◆	Govt EM Local ◆
Corp DM HY ◆	Govt DM IG ▼
Govt EM USD ▲	
Corp DM IG ◆	Alternatives ◆
	Gold ▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,645

Technical indicators for key markets as of 16 Jul close

Index	Spot	1st support	1st resis- tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,534	7,358	7,645	20.1	1.2
STOXX 50	6,284	6,166	6,416	15.2	3.1
FTSE 100	10,572	10,354	10,769	12.8	3.5
TOPIX	4,029	3,927	4,134	16.9	2.3
Shanghai Comp	3,882	3,775	4,083	13.0	3.1
Hang Seng	25,009	23,277	25,981	10.6	3.5
Nifty 50	24,073	23,728	24,474	18.4	1.8
MSCI Asia ex-Japan	1,104	1,044	1,183	11.1	2.2
MSCI EM	1,664	1,582	1,777	10.7	2.6
Crude oil (WTI)	79.0	70.1	84.7	na	na
Gold	3,977	3,819	4,258	na	na
UST 10Y Yield	4.55	4.40	4.67	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	USD	Leading Index	Jun	–	0.1%
	EUR	Germany ZEW Survey Expectations	Jul	–	10.5
TUE	EUR	Germany ZEW Survey Current Situation	Jul	–	-81.0
	EUR	ZEW Survey Expectations	Jul	–	9.5
WED	GBP	CPI y/y	Jun	–	2.8%
	GBP	CPI Core y/y	Jun	–	2.6%
THU	EUR	ECB Deposit Facility Rate	23-Jul	–	2.3%
	USD	Chicago Fed Nat Activity Index	Jun	–	-0.1
	EUR	Consumer Confidence	Jul P	–	-17.7
FRI/SAT	EUR	GfK Consumer Confidence	Aug	–	-29.2
	EUR	S&P Global Eurozone Manufacturing PMI	Jul P	–	51.4
	EUR	S&P Global Eurozone Services PMI	Jul P	–	49.4
	USD	S&P Global US Manufacturing PMI	Jul P	–	53.9
	USD	S&P Global US Services PMI	Jul P	–	51.2
	USD	New Home Sales	Jun	600k	580k

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 16 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.10
Global Equities	●	↑	1.49
Gold	●	→	1.34
Equity			
MSCI US	●	→	1.42
MSCI Europe	●	↑	1.77
MSCI AC AXJ	●	↑	1.63
Fixed Income			
DM Corp Bond	●	↓	2.05
DM High Yield	●	↓	1.54
EM USD	●	→	1.82
EM Local	●	→	1.71
Asia USD	●	↓	2.16
Currencies			
EUR/USD	●	↓	1.34

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ● Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >



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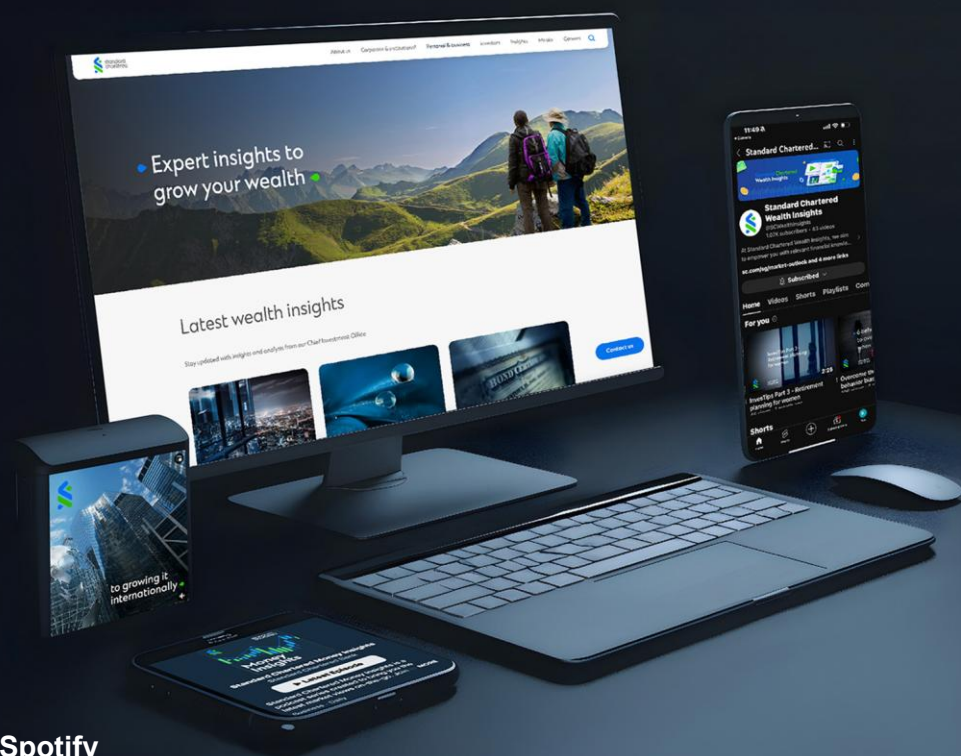
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